

SECTION-D

Note: Long answer type questions. Attempt any two questions out of three questions. (2x8=16)

- Q.23 Discuss the objective and limitations of Management accounting.
- Q.24 What is ratio analysis? Discuss 6 important ratios for business.
- Q.25 Discuss the 3 section of cash flow statement

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224145A

Roll No.

4th Semester/Finance, Accounts & Auditing Subject : Management Accounting

Time : 3 Hrs.

M.M. : 60

SECTION-A

Note: Multiple choice questions. All questions are compulsory (6x1=6)

- Q.1 The primary purpose of management accounting is to
- a) Provide information for external users.
 - b) Assist management in making informed decisions
 - c) Ensure compliance with financial regulations
 - d) prepare financial statements for investors.
- Q.2 The debt-to-equity ratio is a measure of:
- a) Liquidity
 - b) Solvency
 - c) Profitability
 - d) Efficiency
- Q.3 Compound interest is interest earned on :
- a) The principal amount only
 - b) The principal amount and the interest earned
 - c) The interest earned only
 - d) Neither the principal amount nor the interest earned.

- Q.4 Fund flow analysis is primarily used to:
- Assess the liquidity of a business.
 - Analyze the changes in a company's financial position
 - Measure the efficiency of a company's operations
 - Evaluate the profitability of a business
- Q.5 The uses of funds in fund flow analysis typically include
- Decreases in current assets
 - Increases in fixed assets
 - Decreases in long term liabilities
 - All of the above
- Q.6 Simple interest is interest earned on:
- The principal amount only
 - The principal amount and the interest earned.
 - The interest earned only
 - Neither the principal amount nor the interest earned

SECTION-B

Note: Objective/ Completion type questions. All questions are compulsory. (6x1=6)

- Q.7 Financial accounting is primarily focused on future-oriented information. (True/False)
- Q.8 Cost-benefit analysis compares the costs and benefits of a decision. (True/False)

(2)

224145A

- Q.9 The current ratio is a measure of solvency. (True/False)
- Q.10 The debt-to-equity ratio is a measure of liquidity. (True/False)
- Q.11 Management accounting can be used to evaluate the performance of a division. (True/False)
- Q.12 Present value is the discounted value of a future cash flow. (True/False)

SECTION-C

Note: Short answer type questions. Attempt any eight questions out of ten questions. (8x4=32)

- Q.13 What is the difference between management accounting and financial accounting?
- Q.14 Explain in brief the advantages of Management Accounting.
- Q.15 Define two financial ratio of ratio analysis.
- Q.16 Discuss two profitability ratios.
- Q.17 What is the difference between simple interest and compound interest?
- Q.18 Explain the advantages of discounting in time value of money calculations.
- Q.19 Explain in brief the discounting techniques in time value of money.
- Q.20 Discuss in brief fund flow statement.
- Q.21 Explain the time value of money concept.
- Q.22 Discuss the importance of cash flow statement.

(3)

224145A